



Opioid Abatement Council

FY2024 Annual Report

Report No. 3 | September 30, 2024

Staffed by Mary Shelton, Executive Director

Dr. Stephen Loyd, Council Chair



Executive Summary

As outlined in Tenn. Code Ann. §33-11-105(b) the Council shall create and the Director shall deliver to the Governor, the Speaker of the Senate, the Speaker of the House of Representatives, the Chairs of the Government Operations Committees of the Senate and House of Representatives, and the Chairs of the Finance, Ways, and Means Committees of the Senate and House of Representatives on or before September 1 of each year an annual report for the prior fiscal year that details the following:

- Total funds deposited into the opioid abatement fund,
- The abatement strategies funded, and
- Any disbursement or expenses paid from the opioid abatement fund.

Highlighted FY2024 (July 1, 2023 – June 30, 2024) Key Activities

- Deputy Director, Sejal West, began employment on October 16, 2023
- Opioid Abatement Council Staff were appointed: Grants Analysts, Mark Carrillo, and David Sappington, began employment on November 27, 2023; and Executive Assistant, Debbie Bresee, began employment on January 29, 2023
- The Opioid Abatement Council met 8 times; 4 virtual and 4 in-person meetings
- Second County Annual Payments totaling \$31.1 million were paid out to all 95 counties in April 2024
- Community Grant application portal opened on September 1, 2023
- On March 18, 2024, the Opioid Abatement Council approved 116 Community Grant Awards totaling \$80.9 million

The Focus of this Annual Report

This report covers only those funds disbursed to the opioid abatement trust fund which is managed by the Opioid Abatement Council. The trust fund, formally named the Tennessee Opioid Abatement Fund Trust, was established by statute in 2021. The trust agreement was adopted by the Opioid Abatement Fund Trust Board of Trustees on April 13, 2022.

Gratitude for the Attorney General's Office

The Opioid Abatement Council would like to acknowledge the years of work by staff of Tennessee Attorney General's Office as they negotiated the multiple settlements which are paying dollars now available to prevent and address the misuse and abuse of opioid products and treat or mitigate opioid use or related disorders or other effects of the opioid epidemic. They continue to lead future negotiations and offer valuable guidance to the Executive Director and the Opioid Abatement Council.

Council's Overview

On May 24, 2021, the Tennessee General Assembly passed Public Chapter 491 establishing the Opioid Abatement Council to manage the disbursement of proceeds from lawsuits relating to opioids. The Opioid Abatement Council upholds the responsibility to ensure the disbursements of these funds go toward funding programs, strategies, expenditures, and other actions designed to prevent and address the misuse and abuse of opioid products and treat or mitigate opioid use or related disorders or other effects of the opioid epidemic. The Tennessee Department of Mental Health and Substance Abuse Services (TDMHSAS) staffs the Council and provides administrative support.

Tennessee law establishing the Opioid Abatement Council is found at T.C.A. 33-11-101, *et seq.*
 Tennessee law establishing the Opioid Abatement Trust fund is found at T.C.A. §§ 9-4-1301, *et seq.*

Council Members

As established by the Tennessee General Assembly in statute, the Council is to have 15 members appointed by the Governor, the Lieutenant Governor, the House Speaker, the Tennessee County Services Association, and the Tennessee Municipal League. TDMHSAS Commissioner Marie Williams serves as a non-voting member.

There are 15 Council members including the Chair.

Dr. Stephen Loyd Council Chairman Cedar Recovery				
Charme P. Allen Knox County District Attorney General	Brian Buuck Ridgeview Behavioral Health Services	Casey Cox Cumberland County Sheriff	Thomas Farmer Tennessee Bureau of Investigation	Mike Flynn Blount County District Attorney General
Armando Fontes Cocke County Sheriff, retired	Dr. Timothy Fournet, MD FACC Cookeville Cardiologist	Dr. Clay Jackson West Tennessee Physician	Dr. Ken Moore Franklin Mayor	Karen Pershing Metro Drug Coalition, Knoxville
Judge E. Shayne Sexton 8 th Judicial District, retired	Lisa Tipton Families Free	Wayne Wykoff Knoxville Attorney	Dr. Stephanie G. Vanterpool MD, MBA, FASA UT Medical Center	Marie Williams TDMHSAS Commissioner Ex-officio Member

Quotes from Council Members

"The OAC members and staff are committed to creating the best system possible for providing financial resources to providers of services fighting opioid addiction. From 2022 to present day, the effort to improve hasn't stopped. We learned, listened, and relearned from our experiences. I'm proud to be part of this team with the mission we have: frontline battling the scourge of addiction.

*Judge E. Shayne
Sexton, 8th
Judicial District,
Retired quoted:*



*Karen Pershing,
Metro Drug
Coalition,
Knoxville, quoted:*

"It's certainly been a great honor and privilege to serve on the council. The thoughtfulness and intentionality of each decision has been carefully considered to make sure the resources are funding needed services to help Tennesseans recover from the devastating impact the opioid epidemic has had and continues to have on so many families."

"This Council has worked diligently and effectively to get money to projects that will help Tennessee victims of the opioid crisis. Many disciplines have come together to make this possible."

*Wayne Wykoff, Knoxville
Attorney, quoted:*



*Dr. Timothy
Fournet, MD FACC,
Cookeville
Cardiologist,
quoted:*

"The Opioid Abatement Council worked diligently over the last year and awarded approximately \$8 million in funds to assist in fighting the opioid epidemic in Tennessee. I feel every member of the Council acknowledges that we have a huge responsibility to every Tennessean to do the most with the funds allocated to the Council to fight Opioid addiction in our great state."

Council Office Staff



Sejal West, Mary Shelton, Elizabeth Rickman-Vaden, Ella Reding,
Debbie Bresee, David Sappington, Mark Carrillo

Mary Shelton Executive Director	
Sejal West Deputy Director	Mark Carrillo Grant Analyst
Ella Reding Project Administrator	David Sappington Grant Analyst
Elizabeth Rickman-Vaden Grants Program Director	Debbie Bresee Executive Administrative Assistant

Council Responsibilities

The Opioid Abatement Council upholds the responsibility to ensure the disbursements of these funds go toward funding programs, strategies, expenditures, and other actions designed to prevent and address the misuse and abuse of opioid products and treat or mitigate opioid use or related disorders or other effects of the opioid epidemic. Disbursement directives include:

- Funding or supporting opioid abatement and remediation purposes and related administrative costs

- Creating a list of approved programs for opioid abatement and remediation for use by the council, state, or local government
- Creating a certification process through which government entities verify the use of funds for programs on the council's list of approved programs
- Incorporating input from the TDMHSAS Statewide Planning and Policy Council's Need Assessment Process
- Developing policies for stakeholder input
- Reporting annually on funds deposited, strategies funded, and disbursements made

Council Meetings

The Opioid Abatement Council is required by statute to meet at least quarterly and move the meetings between the three grand regions of Tennessee.

In FY2024, the Council met 8 times, calling 4 virtual emergency meetings which were necessary to plan for and vote to approve new positions, and next steps to disburse the funds to the counties and to prepare to disburse the funds to the community.

The Council meetings are held in compliance with the Open Meeting requirements of Title 8, Chapter 44 of Tenn. Code Annotated. The meetings are held in-person with a virtual option for attendees to view and listen to the meeting. On average, there are approximately 150 guests at each meeting (including virtual and in-person).

The Opioid Abatement Council hears a brief reflection from the Council Chair at the start of each meeting on "Our Why", which grounds us and reminds us of our vision.

At the end of each meeting, the Council Chair asks those present either in-person or virtually if there is anyone who wishes to make a public comment.

Council Vision

"To approve and allocate the dollars through the Opioid Trust Fund so that Tennesseans struggling with opioid addiction with or without chronic pain find relief and pathways of recovery to bring hope and restoration through effective and transparent work for all Tennesseans, which will bring prevention and support for those families impacted by opioid use disorder."

Approved by the Opioid Abatement Council on December 5, 2022

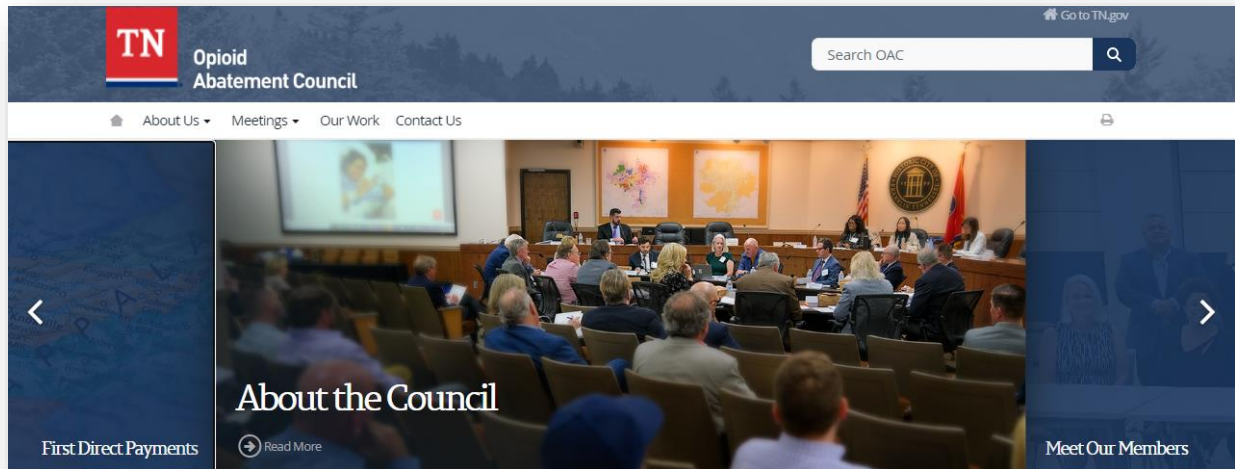


Date of Council Meeting	Location*
August 22, 2023	Franklin, TN
October 2, 2023	Johnson City, TN
December 14, 2023	Virtual
February 8, 2024	Virtual
February 22, 2024	Virtual
March 18, 2024	Knoxville, TN
April 25, 2024	Virtual
June 18, 2024	Memphis, TN

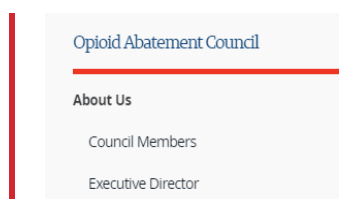
*Meeting held in person if not otherwise indicated.

Council Website

The Opioid Abatement Council's website is the main communication tool with the public. We endeavor to build trust with the community and ensure transparency through updating the website frequently. Please visit the website: [TN.gov/oac](https://tn.gov/oac)



Information located on the website:

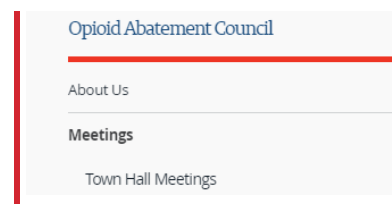


About Us

- Council members and their bios
- Executive Director and her bio

Meetings

- Upcoming Council's meeting schedule
- Town Hall meeting schedule
- Past meeting minutes and meeting materials



Community Funding

- Opioid Abatement Community Funding information
 - List of Community Grant Awardees
 - List of Applications and Average Scores
 - 2024 Community Grants FAQ
 - March 18, 2024, Opioid Abatement Council Meeting

Opioid Abatement Council

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County Funding

- Opioid Abatement County Funding information
 - 2023 County Payments amount
 - 2024 County Payments amount
 - County Allocation Percentages
 - A link to the Tennessee Attorney General's Opioid Settlement Information Page
 - County Semiannual Report

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- Approved Remediation List
- State Fiscal Year 2021-2022 and 2022-2023 Annual Report
- Tennessee Attorney General Opioid Settlement Information Page

Contact Us

- There is a form that allows the community to share thoughts and ideas and join our public email.

What's your name?*

First Name Last Name

E-mail address*

Do you want to be added to our mailing list?*

☐ Yes
☐ No

Here's a spot for your mailing address. If you just want to leave a ZIP code, that's fine too.

Address Line 1

Address Line 2

City

State

ZIP Code

Please let us know who you are wishing to speak with, the name of your agency (if applicable), and any information that would help us understand your interest in the Council.

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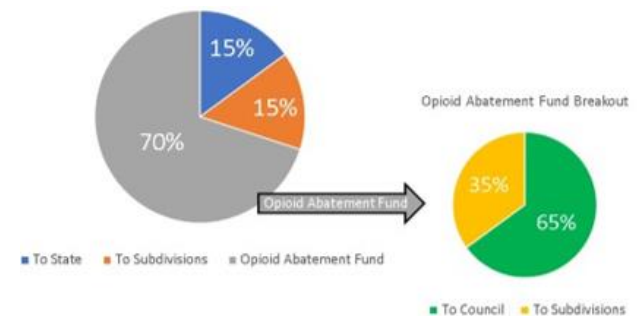
Opioid Abatement Trust Fund

The settlement agreements all devote the largest share of money to a fund restricted to future abatement. In Tennessee, payments are placed in the Tennessee Opioid Abatement Fund. This is a trust fund, separate from the State's General Fund, and money in the fund must be spent of future opioid abatement and remediation.

Disbursement of Funds based on Public Charter

The Opioid Abatement Council is entrusted to manage **70%** of the funds received from settlements and bankruptcies. These funds are deposited in the Opioid Abatement Trust Fund.

- 35% will go to all 95 counties based on a calculation agreed on by the Attorney General's Office and all counties. All 95 counties will receive at least one annual payment during Quarter 1 of each calendar year.
- 65% is available for the community to apply for funding.



Total Funds Deposited into the Opioid Abatement Trust Fund, FY2024

During FY2024, **11** deposits were made to the Opioid Abatement Trust Fund.

Company	Amount
Distributor Settlement p4	\$15.6 million
Mallinckrodt	\$4.8 million
AmerisourceBergen Drug Corp,	\$8.6 million
Walmart p1	\$50.4 million
Walgreens p1	\$7.4 million
Walgreens p2	\$4.9 million
CVS p1	\$6.3 million
Allergan p1	\$5.7 million
Teva p1	\$5.1 million
McKinsey	\$651 thousand
Publicis Health	\$9.2 million
Total Deposits	\$119 million

The Tennessee Treasury manages the Opioid Abatement Trust Fund.

Total Fund Disbursements into the Opioid Abatement Trust Fund, FY2024

Disbursements	Amount
Disbursements to Counties	\$31.1 million
Departmental Expenses	\$1.8 million

Current Balance of the Opioid Abatement Trust Fund

The Tennessee Department of Mental Health and Substance Abuse Services (TDMHSAS) Fiscal team creates the Opioid Abatement Council a monthly Opioid Abatement Trust Fund Activity statement.

As of June 31, 2024, the balance in the Opioid Abatement Trust Fund is:

\$171,211,332.05

Here is the most recent Activity Statement:

Opioid Abatement Fund Activity

As of the Period ended of June 31, 2024

Description	Cash
McKinsey Deposit 3.31.2021	12,613,210.59
McKinsey Deposit 4.19.2022	651,080.54
Distributor Settlement 8.12.2022 - Amerisource Bergen	14,914,621.88
Distributor Settlement 11.22.2022 - Nat'l Opioid Settlement Fund	59,709,854.06
Distributor Settlement 10.17.2022 - Nat'l Opioid Settlement Fund	15,674,540.42
Distributor Settlement 2.09.2023 NOAT II	4,112,865.67
McKinsey Deposit 4.03.2023	651,080.54
Distributor Settlement 8.16.23 - AmerisourceBergen Drug Corp., McKesson Corp., Cardinal Health, Inc. and AmerisourceBergen Corp.	15,674,540.42
Distributor Settlement 11.09.23 - Mallinckrodt	4,838,665.50
AmerisourceBergen Drug Corp.	8,635,214.64
Walmart Payment 1 3.15.24	50,466,781.27
Walgreens Payment 1 3.15.24	7,477,216.05
Walgreens Payment 2 3.15.24	4,935,462.14
CVS Payment 1 3.15.24	6,373,191.60
Allergan Payment 1 3.15.24	5,730,194.43
Teva Payment 1 3.15.24	5,178,688.17
McKinsey Deposit 4.03.24	651,080.54
Publicis Health 4.19.24	9,220,345.92
FY 22 Interest Earned	27,134.50
FY23 Interest Earned	2,190,024.22
FY24 Interest Earned	5,435,574.35
County 2023 and 2024 Distribution	62,498,376.32
Departmental Expenses Reimbursed by Opioid Abatement Fund	1,033,680.65
Totals	172,287,069.21

Statement			
Fund	Account	Descr	Combined
20044	10000000	Equity in Treasurer Cash	172,287,069.21
11000	7xxxxxxx	33918 Departmental Expenses Not Reimbursed by Opioid Abatement fund	1,075,737.16
		Net Cash Available	171,211,332.05

County Annual Payments

The counties receive 35% of the Opioid Abatement Trust Fund. Here is an overview of our activities which expedited the second annual payments to all 95 counties in April 2024.



County Letter of Agreement

A Letter of Agreement (LOA) is a document between the Opioid Abatement Council and each county, stating the guidelines for the Opioid Abatement Funds. Each county is required to execute the LOA prior to disbursement of funds.

- The LOA's are sent via Adobe sign.
 - **Disbursed funds must be spent on opioid abatement and remediation purposes.**
- All records shall be maintained in accordance with state law.
- The county shall obligate all funds for specific purposes as consistent with the agreement within the initial two-year time period of the four-year time period.
- By statute, counties must report semi-annually on the use of funds received through disbursements from the Opioid Abatement Trust fund.
- For this report, the Council will be using Formstack as their report platform.

Tennessee Department of Mental Health and Substance Abuse Services (TDMHSAS) attorney assigned to the Opioid Abatement Council office, will annually review, and approve the LOA's.

The Opioid Abatement Council has set out the high-level requirements for the semi-annual reports in the LOA's with each county, which include identifying the types of abatement and remediation strategies funded and number of people served. The current copy of the LOA can be found in **Attachment A**.

County Semi-Annual Report

The platform, Formstack, is used to collect data of how the counties are utilizing the fundings. Reports showing how the Opioid Abatement Trust Funds were allocated and/or spent are due from each county by September 30 and March 31 of each year.

Data gathered will highlight:

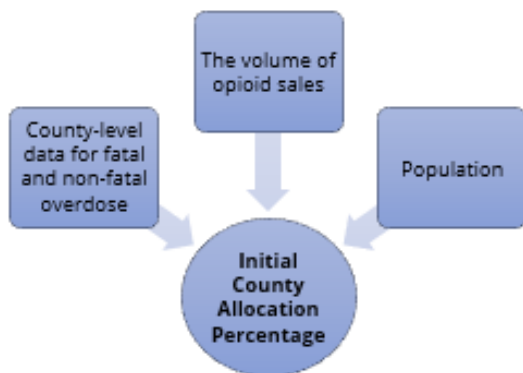
- Allocation of the funding received by counties
- Which strategies/categories the funding was spent on
- Positive outcomes

The Opioid Abatement Council published the [first Semiannual Report](https://www.tn.gov/oac/county.html) (located at <https://www.tn.gov/oac/county.html>) on February 16, 2024. The report compiles the required responses from the counties as specified in the Letter of Agreements with the counties.

To view the Formstack application, see **Attachment B**.

County Funding

- All 95 counties will receive at least one annual payment from the Opioid Abatement Trust Fund during Quarter 1 of each calendar year.
- [Tennessee Abatement Fund Initial County Allocation Percentages](https://www.tn.gov/content/dam/tn/attorneygeneral/documents/foi/opioids-settlements/allocation-percentages.pdf) (located at <https://www.tn.gov/content/dam/tn/attorneygeneral/documents/foi/opioids-settlements/allocation-percentages.pdf>)
- The data used to determine the amount each county will receive is based on the Initial County Allocation Percentages (reference is above).



The County Allocation Percentage is based on the data that is updated by the TN Department of Health

Year of County Allocation Updated	Non-fatal (Feb-Apr) Data Updated	Fatal (Oct-Nov) Data Updated	County population
2021	2018	2019	2020
2027	2024	2025	2026
2031	2028	2029	2030
2035	2032	2033	2034
2039	2036	2037	2038

The Opioid Abatement Council relies on the data collected by the Department of Health for the County Allocation Percentage which was agreed to under the settlement agreements with the subdivisions.

Below lists the data which is collected and inputted into a formula to determine the annual payments to the counties.

Data	Source	Data reported	Lag time
Fatal Death	TN Death Statistical File	Will be updated next Fall (October) with 2022 data	9-10 months (allows ME to get toxicology results back)
Non-fatal Death	TN Hospital Discharge Data Set (HDDS)	Just updated, next update is next April with 2022 data	13 minimum months (Mandated by Law)
Prescription trend	Controlled Substance Monitoring Database (CSMD)	Just updated, next update is next April with 2023 data	2-3-month lag (allows OIA staff time to do analyses on data and produce #s)

All 95 Counties have received their 2nd payments from the Opioid Abatement Trust Fund.

As of April 12, 2024, all 95 counties have received their share of \$31,073,223 through their second annual payment.

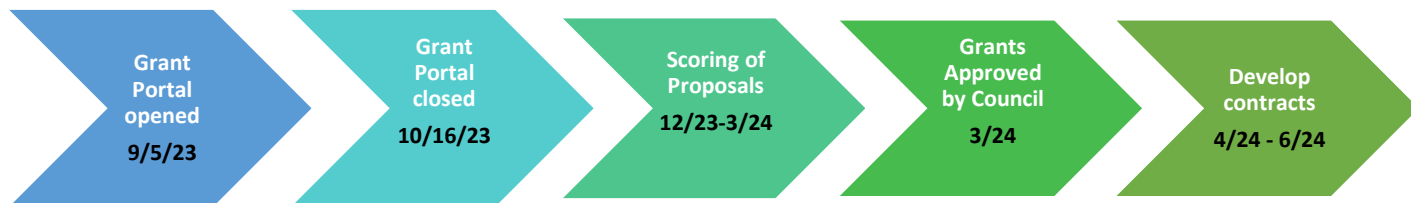
The annual payments will continue for at least 16 years with payment during the 1st quarter of the calendar year.

Opioid Abatement Trust Funds Paid to Counties 2024

County	2024 Payment	County	2024 Payment	County	2024 Payment	County	2024 Payment	County	2024 Payment
Anderson	\$420,397.94	Fayette	\$162,499.10	Knox	\$2,484,979.29	Polk	\$76,986.69	White	\$137,279.93
Bedford	\$222,102.42	Fentress	\$114,128.86	Lake	\$35,135.51	Putnam	\$346,609.84	Williamson	\$771,049.12
Benton	\$79,506.89	Franklin	\$191,548.67	Lauderdale	\$100,236.73	Rhea	\$159,199.36	Wilson	\$674,043.22
Bledsoe	\$69,160.28	Gibson	\$200,164.97	Lawrence	\$208,466.64	Roane	\$302,617.76		
Blount	\$638,042.79	Giles	\$138,595.06	Lewis	\$66,088.40	Robertson	\$376,574.01		
Bradley	\$455,176.85	Grainger	\$110,738.22	Lincoln	\$147,854.92	Rutherford	\$1,496,406.85		
Campbell	\$232,815.50	Greene	\$330,064.50	Loudon	\$241,868.76	Scott	\$105,335.48		
Cannon	\$87,947.08	Grundy	\$83,195.70	Macon	\$116,332.88	Sequatchie	\$76,185.66		
Carroll	\$119,486.36	Hamblen	\$288,075.91	Madison	\$364,442.26	Sevier	\$490,061.71		
Carter	\$252,742.47	Hamilton	\$1,487,097.03	Marion	\$141,765.54	Shelby	\$3,539,065.59		
Cheatham	\$287,364.19	Hancock	\$34,446.28	Marshall	\$166,294.33	Smith	\$107,722.91		
Chester	\$67,264.42	Hardeman	\$103,378.04	Maury	\$427,769.72	Stewart	\$80,401.61		
Claiborne	\$168,133.11	Hardin	\$133,178.94	McMinn	\$254,386.12	Sullivan	\$727,707.28		
Clay	\$43,385.04	Hawkins	\$286,327.07	McNairy	\$109,247.13	Sumner	\$891,525.52		
Cocke	\$200,529.56	Haywood	\$60,675.93	Meigs	\$59,201.16	Tipton	\$263,377.34		
Coffee	\$288,759.69	Henderson	\$120,905.27	Monroe	\$209,974.99	Trousdale	\$63,111.16		
Crockett	\$51,441.28	Henry	\$147,420.74	Montgomery	\$968,756.71	Unicoi	\$90,448.31		
Cumberland	\$291,394.09	Hickman	\$149,649.68	Moore	\$29,543.68	Union	\$104,046.48		
Davidson	\$3,386,976.59	Houston	\$49,040.87	Morgan	\$121,625.02	Van Buren	\$27,758.69		
Decatur	\$55,437.22	Humphreys	\$90,193.71	Obion	\$132,952.42	Warren	\$201,076.22		
DeKalb	\$117,829.04	Jackson	\$68,425.48	Overton	\$117,274.54	Washington	\$524,100.60		
Dickson	\$302,447.80	Jefferson	\$240,598.01	Perry	\$43,533.56	Wayne	\$77,711.58		
Dyer	\$148,503.29	Johnson	\$68,985.21	Pickett	\$24,103.10	Weakley	\$144,810.07		

Community Grants

The community receives 65% of the Opioid Abatement Trust Fund. Here is an overview of our activities which allowed us to open the Community Grant application on September 5, 2023.



Funding Information

Project duration is flexible based on Proposer's demonstrated need and timing of the program. The Opioid Abatement Council has not set a maximum funding amount for each approved application, though amounts will be based on guidance set by the Council. Grant contracts awarded must comply with all applicable contract requirements. Grantee's will submit either monthly or quarter

Timing of the program is flexible and based on OAC approval for either 1, 2, or 3 years.

invoices to receive payment. Grantees will submit semiannual reports to the Opioid Abatement Council office and will also be subjected to fiscal and program monitoring, which will be performed by TDMHSAS and/or the Opioid Abatement Council office.

Grant Application Platform

- SmartSimple
The Opioid Abatement Council is continuously working with Strategic Technology Solutions (STS), to customize and update the state-owned platform for the grant application portal for the next cycle round. Since this platform is owned by the State of Tennessee, no Opioid Abatement Trust Funds are spent on this project.
- Community Grant Application Portal
The 2023 Community Grant applications were submitted through the Sub-Recipient Grant Management Enterprise Solution, State of Tennessee Portal. A **total of 396 applications** were submitted by Tennessee agencies in the 2023 cycle. The 2023 Community Grant application can be found in **Attachment C**.

Community Grant Awardees

On March 18, 2024, the Opioid Abatement Council approved 116 Grant Awards totaling \$80,936,057.

The grant awards will fund **85 distinct organizations** and there are **30 statewide programs**.

Funding Amounts by Remediation Strategy	
Treatment	\$32,775,972
Recovery Support	\$18,970,500
Primary Prevention	\$12,201,837
Education and Training	\$8,173,701
Harm Reduction	\$8,061,539
Research and Evaluation	\$752,508

The Opioid Abatement Council approved Capital project funding equaling \$5,715,633.

SAS Institute, Inc.

On December 14, 2023, the Opioid Abatement Council approved for the Opioid Abatement Council Executive Director to contract with SAS to create visual and interactive dashboards on community and county level data. This work directly aligns with the Opioid Abatement Council's priority of transparency.

The insights from the reports and analyses, will allow the Opioid Abatement Council to establish baseline metrics and to better understand some of the underlying factors that is driving Tennessee's opioid/SUD numbers. Thus, allowing the Council to better prioritize funding toward appropriate prevention, education, harm reduction, treatment, and recovery programs. \$2.3 million of the Opioid Abatement Trust Fund will be spent on this project over the next three years.

Year 1	Year 2	Year 3
1/1/2024-12/31/24	1/1/2025-12/31/25	1/1/2026-12/31/26
Design, Implementation & Delivery	Continued Development & Platform Maintenance/Support	Maintenance/Support
\$1,465,805.00	\$446,050.00	\$363,327.63

Summary

The Opioid Abatement Council is grateful for opportunity to lead the efforts of disbursing the opioid settlement funds to the counties and the community. We continue to be mindful of those who have lost loved ones and who are on the path of recovery throughout the opioid epidemic.

Contact Information

Visit the Tennessee Opioid Abatement Council's website to stay updated: www.tn.gov/oac.html

Or email the Opioid Abatement Council at Opioid.Abatement@tn.gov for any additional information or if there are questions.

Attachment A

Letter of Agreement 2024



LETTER OF AGREEMENT:

OPIOID ABATEMENT FUND DISBURSEMENT AGREEMENT

FOR COUNTY ENTITIES

Date: **DATE**

To: The Honorable **NAME OF COUNTY MAYOR**

COUNTY

ADDRESS

From: Dr. Stephen Loyd, Chair of the Tennessee Opioid Abatement Council

Mary Shelton, Executive Director of the Tennessee Opioid Abatement Council

On May 24, 2021, the Tennessee General Assembly passed Public Chapter No. 491 establishing the Opioid Abatement Fund and the Opioid Abatement Council.

The Opioid Abatement Fund is the designated repository of funds that are either dedicated to opioid abatement or remediation or are otherwise directed to abatement or remediation and that are received by the state pursuant to a judgment on opioid-related claims, a recovery in bankruptcy on opioid-related claims, or a settlement of opioid-related claims. See Tenn. Code Ann. § 9-4-1304.

The Opioid Abatement Council is responsible for disbursing funds from the Opioid Abatement Fund. Pursuant to Tenn. Code Ann. § 33-11-103(p), for proceeds from the statewide opioid settlement agreements with McKesson Corporation, Cardinal Health, Inc., AmerisourceBergen Corporation, or Johnson & Johnson, Allergan Finance, LLC, CVS Health Corporation, Teva Pharmaceutical Industries Ltd., Walgreen Co., Walmart Inc., or K-VA-T Food Stores, Inc. or affiliates or subsidiaries, thirty-five percent (35%) of the proceeds received shall be disbursed to counties that joined those settlements.

These funds allocated to counties *must be spent on opioid abatement and remediation purposes* that are specifically approved by the Opioid Abatement Council and included on a list of approved programs created by the Opioid Abatement Council. See Tenn. Code Ann. § 33-11-103(r), (s). Please see Attachment A for a list of these approved abatement and remediation activities.

In accordance with the above, the Opioid Abatement Council is disbursing **INSERT AMOUNT** to **INSERT COUNTY**.

If your county chooses to accept these funds, sign this agreement (include your taxpayer identification number and requested contact information) in the space provided below. Your signature serves as your county's acceptance of the following terms and conditions:

- a) Your county agrees to utilize this money only for approved opioid abatement and remediation activities outlined in Attachment A. By signing below, you, as the representative for your county, certifies that your county will only use these funds for the approved opioid abatement and remediation activities listed in Attachment A.
- b) Your county agrees to report on a semi-annual basis to the Opioid Abatement Council requested information. This request information may include, but not be limited to, the following:
 - (1) what abatement and remediation strategies on Attachment A your county funded with these funds,
 - (2) the number of people served with these funds, when the funds were spent, and
 - (3) the total amount of funds spent delineated per abatement and remediation strategy as identified on Attachment A.

The report will be sent to your county via link by the Opioid Abatement office twice a year. More information will be given to your county at a later date.

- c) If your county fails to fulfill the obligations under this agreement, the State shall have the right to seek restitution, pursuant to the laws of the State of Tennessee, against your county for payments made to your county under this agreement.
- d) Your county's records and documents, insofar as they relate to the performance of your county's obligations or to payments received under this agreement, shall be maintained in a manner consistent with the accounting procedures of the Comptroller of the Treasury, pursuant to Tenn. Code Ann. § 4-3-304 and applicable rules and regulations thereunder.
- e) The funds received shall be placed in an interest-bearing account until such time as they are used for the purposes set out in this agreement. The funds received shall be distributed to the county for an initial total time period of four years. The county shall obligate all funds for specific purposes as consistent with this agreement within the initial two-year time period of the four-year time period. At any time during the four-year time period, the county may spend the funds. At the expiration of the four-year time period, the unspent funds shall revert back to the State's Opioid Abatement Fund, unless the county requests in writing and receives approval from the Council for additional time. At the expiration of the four-year time period or at the end of any extension granted by the Council, if any portion of the funds are not expended, the unexpended portion plus any accrued interest shall be returned to the State's Opioid Abatement Fund. At the expiration of the four-year time period or at the end of the extension granted by the Council, if any portion of the funds are obligated but unspent and the Council has not approved an extension, the county shall be responsible for the obligation.

We encourage you to return these materials as soon as possible. The State is prepared to process this agreement and issue payment in a timely fashion, upon receipt of these materials.

Please be advised that this disbursement agreement is subject to the appropriation or availability of funds in the Opioid Abatement Fund. If the funds are not appropriated or are otherwise unavailable, the Opioid Abatement Council reserves the right to modify or terminate this agreement, upon written notice. The Opioid Abatement Council's right to terminate or modify this agreement due to lack of funds is not a breach of this agreement by the Opioid Abatement Council. Upon modification or termination, you shall have no right to recover from the Opioid Abatement Council any actual, general, special, incidental, consequential, or any other damages whatsoever of any description or amount.

If you should have any questions or comments or need any assistance responding to this request, please contact Mary Shelton, Executive Director of the Tennessee Opioid Abatement Council at 615-946-9193 or mary.shelton@tn.gov

Please retain a copy of this letter for your records.

On behalf of **INSERT COUNTY**, I hereby agree to the aforementioned terms and conditions. By signing, I certify that **INSERT COUNTY** will only use these funds for the approved opioid abatement and remediation activities listed in Attachment A.

Official's Signature

Date

Official's Name (please print)

Official's Title or Position

Official's Contact Information (phone/email)

Federal Taxpayer Identification Number

Attachment B

County Semi-Annual Report

Opioid Abatement Trust Fund Semi-Annual Report

**Please report on Opioid Abatement Trust Funds spent during the timeframe September 1, 2023-February 29, 2024.
This Report is due March 31, 2024**

*This report is **only** for the money from the **Tennessee Opioid Abatement Trust Fund** and is for the timeframe of February 1, 2023 - August 31, 2023. Please **do not** include information about the money from the **National Administrator**.*

The questions with ***asterisks*** require an answer.

Name of County Official completing this Semi-Annual Report*

Email address of County Official completing this Semi-Annual Report*

Please select the County for this Semi-Annual Report*

Please provide information on the ALLOCATION of the funding received in the next question.

Has the county allocated all OR any portion of the funds received from the Opioid Abatement Trust Fund?*

- ☐ Yes, some funds have been allocated
- ☐ Yes, all funds have been allocated
- ☐ Yes, we have a proposed allocation for some OR all funds, but still need approval by the county commission or a similar process
- ☒ No, none of the funds have been allocated

Please enter the amount of funds which have been allocated*

\$

Please provide information on which STRATEGIES the funding was spent on, in the next 6 questions. These categories are from the Remediation List which is located in the Letter of Agreement or [OAC Remediation List Revised 10-10-22.pdf \(tn.gov\)](#)

Did your county spend Opioid Abatement Funds on PRIMARY PREVENTION during September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Primary Prevention* \$

Estimated number of people served by the funds spent on Primary Prevention*

Provide the initial date when funds for Primary Prevention were spent*

Did your county spend Opioid Abatement Funds on HARM REDUCTION during September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Harm Reduction* \$

Estimated number of people served by the funds spent on Harm Reduction*

Provide the initial date when funds for Harm Reduction were spent *

Did your county spend Opioid Abatement Funds on TREATMENT during September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Treatment* \$

Estimated number of people served by the funds spent on Treatment*

Provide the initial date when funds for Treatment were spent *

Did your county spend Opioid Abatement Funds on RECOVERY SUPPORT during September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Recovery Support* \$

Estimated number of people served by the funds spent on Recovery Support*

Provide the initial date when funds for Recovery Support were spent *

Did your county spend Opioid Abatement Funds on EDUCATION & TRAINING during September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Education & Training* \$

Estimated number of people served by the funds spent on Education & Training*

Provide the initial date when funds for Education & Training were spent *

Did your county spend Opioid Abatement Funds on RESEARCH & EVALUATION September 2023-February 2024?*

☐ Yes ☐ No

Provide the total dollar amount spent on Research & Evaluation* \$

Estimated number of people served by the funds spent on Research & Evaluation*

Provide the initial date when funds for Research & Training were spent *

Attachment C

Community Grant Application

The Opioid Abatement Council is still preparing to accept applications for the community grants. **We ARE NOT accepting applications at this time. When we begin accepting applications, it will be ONLY be through a web-based portal. We will NOT accept paper applications or those sent via email.**

To ensure that the applicants have sufficient time to compile information for the application, the Council is now posting the application. Please note that once the application is live, there may be minor changes in the wording or the order of the questions.

Organization Information

1. Organization name:
2. Date organization established:
3. Organization address:
4. Does this organization have an office or physical presence in Tennessee?
 - a. Please provide the physical address for the Tennessee location (if more than one address exists, please provide the most pertinent):
5. Primary Contact information:
 - a. Name:
 - b. Phone number:
 - c. Email:
6. Name of Chief Executive Officer or President of the organization:
 - a. Name:
 - b. Phone number:
 - c. Email:
7. Tax Identification Number:
8. Has this organization Received a 501(c)(3) Determination Letter?
9. Is this organization licensed by the Tennessee Department of Health?
 - a. If yes – list license name and number:
10. Is this organization licensed by the Tennessee Department of Mental Health and Substance Abuse Services?
 - a. If yes, list license name and number:
11. How many employees are in this organization? How many volunteers serve in this organization?
12. What is the annual operating budget of the organization?

Funding Request

1. Project name:
2. Select the strategy that best fits this project:
 - a. Primary Prevention
 - b. Harm Reduction
 - c. Treatment
 - d. Recovery Support
 - e. Education/ Training
 - f. Research or Evaluation of Abatement Strategy Efficacy
3. Funding amount requested:
 - a. Please attach an itemized budget for the project showing all sources of income and proposed expenditures for the project that clearly indicates how the requested funds will be used.
4. What is the proposed timeframe for spending the funding?
 - a. 1 Year
 - b. 2 Years
 - c. 3 Years
5. Brief description of the project: (200 words)

Detailed Project Description

The State of Tennessee is committed to combating the opioid epidemic by collaborating with other states and organizations. The state wants to ensure that proposed approaches have been proven to be effective.

Below are seven categories that will be used in the evaluation process to determine grant funding to aid in prevention, harm reduction, treatment, recovery support, education and training, research and evaluation of abatement strategy efficacy.

Briefly explain how your project will assist in combating this epidemic.

Impact

The citizens of Tennessee are experiencing epidemic levels of addiction, overdoses, and death secondary to opioid use disorder. Therefore, having a positive impact on Tennessee's opioid crisis is imperative. The responses below should explain how the project will impact Tennesseans and define the target population (including age and other relevant demographic information).

- 1) How many persons will be impacted? How will they be affected and for how long do you expect the impact to last?

- 2) How will your organization measure the success of the project? What outcomes will you track and what will be the frequency of assessment?
- 3) When developing a proposal for the opioid crisis the organization must consider how accessible their services will be to those affected by the crisis. How will the organization ensure accessibility to the proposed services?
- 4) How will inequities in care be remediated?
- 5) What area(s) of Tennessee will be served by the project?

Innovation

The opioid crisis has existed for decades, and innovative measures have been used, but must continue to be developed to assist in combating the epidemic. The responses below should highlight how your organization plans to incorporate innovative measures such as medical technologies, partnerships, alternative paths, etc.

- 1) What new approaches to existing challenges are proposed in this project?
- 2) Is there a plan to share learnings with the medical and larger communities? If so, how will this be accomplished?

Integration

When combating an epidemic, organizations must often research, collaborate and use resources from other community efforts to be effective. In this section, the applicant must briefly explain how their services (existing and proposed) integrate with existing efforts.

- 1) How does the proposed project fit within the existing ecology of opioid prevention and care?
- 2) Are there plans to incorporate collaboration with other community resources? If so, please describe these plans.

Evidence Base

Much evidence-based strategies have been used over the years to assist with the opioid crisis such as screening for fentanyl, academic detailing, syringe services programs, etc. The response in this section should list the proposed approach and any references that would provide evidence of its success.

- 1) Please describe the evidence that supports your proposed approach. Include relevant references.

Feasibility

The response in this section should describe the applicant's management plans such as supervision of program, qualifications of management and staff, etc.

- 1) Please describe your business and/or management plan for the proposed project.

- 2) Please provide information about staff and resources allocated to the project and available infrastructure.

Sustainability

The applicant must consider if and how the proposed project will continue once abatement funding has ended. In this section, please explain if you intend to extend the project past the abatement funding period. What strategies you plan to employ to ensure sustainability?

- 1) Does this organization plan to extend this project beyond the funding period?
 - a. If so, what will be the funding mechanism(s) to continue the project?
- 2) What percentage of the proposed project's budget will be carried by abatement funding?
What are the other sources of funding for the proposed program?

Credibility

Explain the commitment of the organization's project to the community such as the marketing strategy, public education opportunities, etc.

- 1) What is the service track record of the organization in Tennessee?
- 2) Please provide links or references to relevant previous projects that your organization has overseen.

Please attach the following items listed below:

- Itemized budget of grant request amount
- Applicant's current IRS determination letter 501(c)(3) status
- Any agency licenses through TDOH or TDMHSAS
- List of applicant's board members and their relevant experience
- Most recent audited financial statements (income and balance sheet)
- Most recent IRS Form 990 and attachments
- Applicant's operating budget for its current fiscal year